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Abstract

Stablecoins, which maintain a stable value, are a popular alternative to traditional cryptocurrencies. However, the most common type, fiat-backed stablecoins, have drawbacks such as centralization, counterparty risk, and lack of transparency.

USB, a crypto-asset-backed stablecoin, is introduced as a solution. It mimics the US dollar's value using a unique mechanism of shorting crypto assets through inverse perpetual swaps. This approach makes USB free from the constraints of traditional fiat-backed stablecoins. Moreover, USB doesn't require bank accounts or other centralized entities, enhancing its decentralization and reducing its susceptibility to regulatory crackdowns or frozen funds.

This whitepaper introduces a revolutionary enhancement to the Stabolut ecosystem: a comprehensive value accrual framework for the SBL governance token. This framework transforms SBL from a simple utility token into a multi-dimensional asset that captures value directly from the protocol's success. Key features include governance-controlled treasury surplus distribution, progressive revenue sharing, deflationary buyback mechanisms, and tiered utility benefits. This positions Stabolut as a leader in next-generation DeFi tokenomics and sustainable protocol design.

Glossary

USB Stabolut's crypto-asset-backed stablecoin, designed to maintain a stable value of 1 USD.

SBL Stabolut's utility and governance token. SBL holders can participate in governance decisions and receive Treasury Airdrops.

Treasury Airdrop The periodic distribution of excess funds from the Stabolut treasury to SBL token holders. These airdrops are funded by profits generated from the funding rates of the Inverse Perpetual Swaps.

Inverse Perpetual Swap A type of derivative contract that allows Stabolut to hedge against the price volatility of crypto assets. Unlike traditional futures contracts, perpetual swaps have no expiration date. The "inverse" nature means the contract's value increases when the crypto asset's price *decreases*, and vice-versa. This is key to maintaining USB's 1 USD peg.

Hedging A strategy used to reduce the risk of price fluctuations of an asset. In Stabolut's case, hedging involves using Inverse Perpetual Swaps to offset the risk of price changes in crypto assets.

Funding Rate A periodic payment either to or from traders holding long or short positions in a perpetual swap contract. The funding rate is used to keep the perpetual swap price close to the spot price of the underlying asset. Stabolut *receives* funding payments because it holds a *short* position.

Short Position A financial position that profits when the price of an asset *decreases*. Stabolut opens a short position in Inverse Perpetual Swaps as part of its hedging strategy.

Long Position A financial position that profits when the price of an asset *increases*. In the perpetual swap market, traders holding long positions typically pay funding to those holding short positions during bull markets.

Crypto/USD Perpetual Swap A common ticker symbol for a crypto asset/US Dollar perpetual swap contract on cryptocurrency derivatives exchanges.

Centralized Exchange (CEX) A cryptocurrency exchange operated by a central company, which holds custody of users' funds. Stabolut uses a basket of CEXs to hold the crypto assets backing USB.

Decentralized Exchange (DEX) A cryptocurrency exchange that operates without a central authority, allowing users to trade directly with each other using smart contracts. Stabolut plans to integrate with DEXs in the future.

Collateral An asset used to secure a loan or, in this case, to back the value of a stablecoin. USB uses crypto assets as collateral.

Minting The process of creating new USB tokens. This occurs when users deposit crypto assets into the Stabolut protocol.

Burning The process of destroying USB tokens. This occurs when users redeem USB for the underlying crypto asset collateral.

Arbitrum A Layer 2 scaling solution for Ethereum, used by Stabolut to process USB transactions with lower fees and faster confirmation times.

Spot Price The current market price of an asset for immediate delivery.

Crypto/USD Spot Price Feed A mechanism that provides the real-time price of a crypto asset in US dollars, used by Stabolut to determine the value of the collateral backing USB. It's a weighted average from multiple data sources (exchanges).

Counterparty Risk The risk that the other party in a financial contract (e.g., a centralized exchange) will default or fail to meet their obligations.

KYC (Know Your Customer) Regulations that require financial institutions to verify the identity of their customers. USB does not require KYC for transactions, enhancing user privacy.

Liquidity The ease with which an asset can be bought or sold without significantly affecting its price. High liquidity is important for stablecoins to maintain their peg.

Governance The process of making decisions about the future direction of a protocol or project. SBL token holders participate in the governance of Stabolut.

Stablecoin A type of cryptocurrency that is designed to maintain a stable value, usually by being pegged to a reserve asset such as the US dollar.

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I Introduction

A Background on Stablecoins

Cryptocurrency's promise of decentralized finance is often overshadowed by its inherent price volatility, hindering its everyday usability. Stablecoins emerged as a solution, offering the benefits of digital currencies with the stability of traditional assets. They provide a reliable medium of exchange, a store of value, and a unit of account suitable for daily transactions and e-commerce. However, this model has several drawbacks, including centralization, counterparty risk, and lack of transparency.

USB, a crypto-asset-backed stablecoin, represents an alternative to traditional fiat-backed stablecoins. It uses a disruptive way of pegging to the US dollar by shorting crypto assets, using an inverse perpetual swap. This mechanism offers several benefits, including decentralization and enhanced privacy for users. This whitepaper provides an overview of USB, its architecture, mechanism, and future outlook.

B Problem with Fiat-backed Stablecoins

Fiat-backed stablecoins, such as Tether (USDT) and USD Coin (USDC), rely on a reserve of fiat currency held in a bank account to maintain their peg to the US dollar. While this design has been successful in providing a stable digital asset, it also has significant drawbacks.

Firstly, fiat-backed stablecoins are centralized and rely on trusted third parties, such as banks, to hold and manage the reserve. This centralization introduces counterparty risk, as users must trust that the third party is holding the reserve in full and will honor redemption requests.

Secondly, fiat-backed stablecoins are subject to regulatory scrutiny and can face crackdowns or frozen funds, limiting their availability and stifling creativity in the ecosystem. This centralization also limits the privacy of users, as the fiat reserve and associated transactions are subject to regulatory oversight.

Lastly, the reliance on fiat currency as a backing asset limits the scalability of fiat-backed stablecoins. As the demand for stablecoins increases, so does the need for the reserve currency to back them, leading to potential liquidity issues and limiting the growth of the ecosystem.

These limitations and risks associated with fiat-backed stablecoins have created a need for an alternative stablecoin solution that is decentralized and scalable. This is where USB, the crypto-asset-backed stablecoin developed by Stabolut, comes in.

C Solution: Crypto-asset-backed Stablecoins like USB

In order to address the limitations of fiat-backed stablecoins, we propose the use of crypto-asset-backed stablecoins like USB. USB is a stablecoin that is backed by a basket of crypto assets and is designed to mimic the value of the US dollar.

USB uses a disruptive mechanism of shorting crypto assets through an inverse perpetual swap to maintain its peg to the US dollar. This allows USB to be free from the constraints of traditional fiat-backed stablecoins.

Furthermore, USB does not require bank accounts or other centralized entities, making it more decentralized and less prone to regulatory crackdowns or frozen funds. This provides users with increased privacy and security, as well as reduced counterparty risk.

Overall, crypto-asset-backed stablecoins like USB represent a powerful solution to the limitations of fiat-backed stablecoins, offering greater transparency, decentralization, and security.

D Regulatory Alignment

USB's design adheres to global regulatory frameworks by:

- Avoiding direct yield on USB (rewards are in SBL, a separate utility token).
- Structuring treasury airdrops as non-recurring, non-guaranteed distributions (avoiding classification as securities).
- Partnering with legal advisors to ensure jurisdictional compliance.

E Advantages of USB Over Other Stablecoins

USB offers several advantages over traditional fiat-backed stablecoins and other crypto-asset-backed stablecoins, including:

- Decentralization: USB is a decentralized stablecoin, meaning that it is not controlled by any centralized authority, such as a bank or government.
- Transparency: USB is transparent, with real-time auditing of the assets that back the stablecoin. This ensures that users can trust that the stablecoin is fully backed by assets.
- Regulatory Alignment: USB staking rewards SBL tokens, avoiding legal conflicts in restrictive jurisdictions.
- SBL Utility: The token accrues value from treasury airdrops, creating a sustainable ecosystem for holders.

- **Security:** USB's security is based on its decentralized nature and the security of the underlying blockchain networks.
- **No KYC:** USB does not require any Know Your Customer (KYC) checks, making it easier for users to access the stablecoin.
- **Lower counterparty risk:** USB's asset backing is secured by a decentralized network of smart contracts, which reduces counterparty risk.
- **Passive Income Generation:** USB's hedging strategies generated 60% (ETHUSD) and 16% (BTCUSD) yields in 2024 backtesting, outperforming traditional stablecoins. It is important to note that past performance is not indicative of future results, and these figures should not be considered a guarantee of future returns.
- **Minimal price volatility:** USB's peg to the US dollar is maintained by shorting crypto assets using inverse perpetual swaps, which helps to minimize price volatility.
- **Overall,** USB is a more secure, transparent, and decentralized stablecoin compared to traditional fiat-backed stablecoins, making it an ideal choice for users looking for a stablecoin with minimal risk and maximum security.

II USB Design

A How USB is Pegged to the USD Value

USB is designed to maintain a stable price of 1 US dollar. To achieve this, USB is pegged to the USD value through a unique method. Instead of being backed by fiat currency, USB is backed by a basket of crypto assets.

USB's price stability is maintained through a mechanism called "shorting crypto assets." This involves selling inverse perpetual swaps in order to generate the necessary collateral for USB.

The USB token is minted when crypto assets are received, and is then burned when it is redeemed. This ensures that the value of USB always reflects the value of the underlying crypto assets, which are constantly monitored and audited in real-time to ensure transparency and trust.

By using crypto assets as collateral, USB avoids the regulatory and centralization issues that come with fiat-backed stablecoins. It also provides users with increased privacy and security, as there are no bank accounts or financial intermediaries involved in the process.

In the next section, we will discuss the advantages of USB over other stablecoins in more detail.

B Use of Inverse Perpetual Swaps for Hedging

To ensure the stability of USB's value, Stabolut utilizes a unique hedging mechanism using inverse perpetual swaps. In this process, Stabolut shorts crypto assets through the use of a perpetual swap that mimics the price of the asset, effectively creating a synthetic short position.

When someone purchases USB, Stabolut simultaneously shorts a crypto asset with the same value as the purchased USB. If the price of the crypto asset rises, the value of USB falls and the value of the short position increases, thus stabilizing the USB price. Conversely, if the price of the crypto asset drops, the value of USB rises, and the value of the short position decreases, again stabilizing the USB price.

This approach provides an innovative solution to the problem of centralized control and manipulation of stablecoins. USB is completely decentralized and operates on the principles of the underlying blockchain network, ensuring that the value of the stablecoin is tied to the market's supply and demand dynamics.

In addition, this hedging mechanism eliminates the need for traditional banks or other intermediaries, which can result in significant cost savings for USB holders.

In our 2024 backtesting, the hedging strategy for ETH/USD funding rates generated an annualized yield of 60%. When combined with the BTC/USD hedging strategy—which alone produced a yield of 16% throughout 2024—this innovative approach significantly enhances the overall stability and income-generating profile of USB. It is important to note that past performance is not indicative of future results, and these figures should not be considered a guarantee of future returns.

C Basket of Centralized Exchanges for Custodial Storage

To ensure the assets backing USB remain secure and easily accessible, we use a basket of centralized exchanges for custodial storage. These exchanges are carefully selected based on their reputation, security measures, and regulatory compliance.

The assets backing USB are stored across multiple exchanges, reducing the risk of any single point of failure or hacking. This approach also enables us to take advantage of the best funding rates available on each exchange, ensuring that USB is always fully backed and maintaining its peg to the US dollar.

In the future, we plan to explore the use of decentralized exchanges to further increase the security and decentralization of the custodial storage of USB's underlying assets. This will make USB even more resilient and robust as a stablecoin, reducing counterparty risk.

D Algorithm for Tracking USB Token Issuance and Redemption

To ensure that the assets backing USB always match the total number of USB tokens in circulation, Stabolut has designed a sophisticated algorithm that continuously tracks token issuance and redemption.

Whenever a user requests to mint new USB tokens, the algorithm automatically checks the amount of crypto assets held in the hedging mechanism and calculates the equivalent value in US dollars. The algorithm then mints the exact amount of USB tokens requested and sends them to the user's wallet.

On the other hand, when a user requests to redeem USB tokens, the algorithm checks the user's wallet and burns the equivalent amount of USB tokens. The algorithm then releases the corresponding amount of crypto assets from the hedging mechanism and sends it to the user's wallet.

This process is entirely automated and transparent, ensuring that the value of USB tokens always matches the value of the assets backing them. The use of a highly sophisticated algorithm also ensures that the process is quick, efficient, and secure for all users.

III Mathematical Framework for SBL Value Accrual

A Treasury Growth and Surplus Calculation

The Stabolut treasury is the primary engine of value creation for the SBL token. Its growth is a function of the yield generated from the protocol's hedging strategies.

$$\text{Treasury Growth} = \sum (\text{Yield from Hedging Strategy}) - \text{Operational Expenses} \quad (1)$$

The treasury surplus is the amount of funds available for distribution to SBL holders. It is calculated as follows:

$$\text{Treasury Surplus} = \text{Total Treasury Assets} - (0.5 \times \text{Circulating USB Supply}) - \text{Operational Reserve} \quad (2)$$

B Progressive Staking Rewards

The rewards for progressive staking are calculated based on the user's staked SBL amount and their staking tier multiplier.

$$\text{User Reward} = \left(\frac{\text{User's Staked SBL} \times \text{Tier Multiplier}}{\sum (\text{All Staked SBL} \times \text{Tier Multipliers})} \right) \times \text{Total Reward Pool} \quad (3)$$

C Buyback and Burn Impact on SBL Value

The buyback and burn mechanism has a direct impact on the value of SBL by reducing its circulating supply. The theoretical price impact can be modeled as follows:

$$\text{New SBL Price} = \frac{\text{SBL Market Cap}}{\text{Circulating Supply} - \text{Tokens Burned}} \quad (4)$$

D SBL Valuation Model

The total value of the SBL token can be conceptualized as the sum of its base utility value, the net present value (NPV) of its future revenue share, the NPV of its future treasury surplus distributions, and a scarcity premium derived from the buyback and burn program.

$$\text{SBL Value} = \text{Base Utility} + \text{NPV}(\text{Revenue Share}) + \text{NPV}(\text{Surplus Distributions}) + \text{Scarcity Premium} \quad (5)$$

IV SBL: A Comprehensive Value Accrual Token

A The SBL Token Framework

SBL (Stabolut's native token) is engineered to be more than a simple governance token; it is a comprehensive value accrual vehicle that captures the success of the Stabolut protocol and delivers it to token holders. The SBL framework is built on five key pillars:

1. **Governance Control:** SBL holders have complete authority over the protocol, including treasury allocations, fee structures, risk parameters, and protocol upgrades.
2. **Treasury Surplus Distribution:** SBL holders vote on the distribution of excess treasury funds, ensuring that the protocol's success is shared with the community.
3. **Progressive Revenue Sharing:** A portion of the protocol's net revenue is distributed to SBL stakers, creating a direct link between protocol usage and token holder returns.
4. **Deflationary Mechanisms:** The protocol can use treasury surplus to buy back and burn SBL tokens, reducing the circulating supply and increasing the value of the remaining tokens.

5. **Utility Benefits:** SBL holders receive tangible benefits within the Stabolut ecosystem, such as reduced fees and enhanced voting power.

B Progressive Staking and Governance

To incentivize long-term commitment and active participation, Stabolut implements a progressive staking system with three tiers:

- **Tier 1 (30-day lock):** 1.2x voting multiplier, 5% fee discount.
- **Tier 2 (180-day lock):** 1.5x voting multiplier, 15% fee discount.
- **Tier 3 (365-day lock):** 2.0x voting multiplier, 30% fee discount.

This tiered system ensures that the most committed community members have the greatest influence on the protocol's direction and receive the most significant benefits.

C Treasury Surplus Distribution: A Democratic Approach to Value Creation

The cornerstone of the SBL value accrual framework is the governance-controlled treasury surplus distribution mechanism. This mechanism is activated when the treasury's reserves exceed 50% of the circulating USB supply plus a buffer for operational expenses.

When this threshold is met, SBL holders can vote on how to allocate the surplus funds. The available options are:

- **Direct Airdrop:** A proportional distribution of the surplus funds to SBL holders.
- **Buyback and Burn:** The protocol uses the surplus to purchase SBL tokens on the open market and permanently removes them from circulation.
- **Yield Enhancement:** The surplus is deployed into additional yield-generating strategies, with the returns passed on to SBL stakers.

This democratic approach to value distribution ensures that the community has direct control over the protocol's economic engine, aligning the interests of the protocol with those of its token holders.

D Regulatory Compliance

The SBL value accrual framework is designed to be fully compliant with evolving regulatory landscapes. By structuring SBL as a utility token with governance rights and making distributions non-guaranteed and community-controlled, Stabolut mitigates the risk of SBL being classified as a security. All major governance decisions are subject to legal review to ensure ongoing compliance.

V Use Cases

A Trading on Cryptocurrency Exchanges

USB can be used for trading on various cryptocurrency exchanges, where it can offer advantages over traditional fiat-backed stablecoins. With its peg to the USD value and its use of Bitcoin inverse perpetual swaps for hedging, USB offers a stable and reliable trading pair for investors looking to hedge against market volatility. Its decentralized and censorship-resistant nature also makes it attractive to those who value privacy and security in their trading activities.

USB can also be traded on decentralized exchanges (DEXs), where its use of Bitcoin inverse perpetual swaps can help to provide liquidity and maintain its peg to the USD value. Its decentralized and censorship-resistant nature also makes it a more attractive option for those who prefer to avoid centralized exchanges or who are located in countries with stricter regulations on cryptocurrency trading.

B Remittance Payments

USB can be used as a reliable and cost-effective solution for remittance payments. Traditional methods of sending money across borders are often expensive and can take several days to process. With USB, remittances can be sent quickly and at a low cost, as there are no intermediaries involved in the process. Additionally, the stable value of USB means that the recipient can be sure they will receive the full intended amount without worrying about fluctuations in exchange rates. This can greatly benefit individuals and businesses who rely on cross-border transactions for their livelihoods.

C E-commerce Transactions

USB can also be used as a payment method for e-commerce transactions. E-commerce platforms and merchants can easily integrate USB payments into their checkout process, allowing for fast and secure transactions. The stable value of USB provides a reliable payment method for merchants, reducing the volatility risks associated with traditional cryptocurrency payment methods. Additionally, the low transaction fees associated with USB payments make it an attractive payment method for merchants looking to reduce payment processing costs. With the added benefits of decentralization, censorship-resistance, and privacy, USB provides an ideal payment solution for e-commerce transactions.

D Store of Value for Long-term Holding

USB is designed not only for day-to-day transactions but also as a store of value for long-term holding. Traditional fiat currencies can be subject to inflation and devaluation, leading to decreased purchasing power over time. USB, on the other hand, is pegged to the value of the US dollar, which has historically been a relatively stable currency.

By using inverse perpetual swaps for hedging, USB can maintain its peg to the US dollar without being subject to the same inflationary pressures as fiat currencies. This makes it a potentially attractive option for those seeking to hold assets for the long term and preserve their value.

Furthermore, USB's low counterparty risk and transparency regarding asset backing can provide added peace of mind for those looking for a secure and reliable store of value. With its decentralized nature, USB can also offer protection against potential government or regulatory interference in traditional fiat-based systems. The additional yield generated from USB's hedging mechanisms (60% for ETHUSD and 16% for BTCUSD in 2024) further enhances its appeal as a store of value, combining stability with growth potential. It is important to note that past performance is not indicative of future results, and these figures should not be considered a guarantee of future returns.

VI Market Opportunity: A \$2.8 Trillion Addressable Market

A The Dual Market Opportunity: Stablecoins and DeFi Governance Tokens

The Stabolut protocol is uniquely positioned to capture value from two of the largest and fastest-growing sectors in the digital asset economy: stablecoins and DeFi governance tokens.

The stablecoin market, currently valued at over \$240 billion, is projected to grow to over \$2.8 trillion by 2028. This growth is driven by the increasing demand for a stable medium of exchange in the volatile cryptocurrency markets, as well as the growing adoption of stablecoins for cross-border payments, remittances, and decentralized finance (DeFi).

The market for DeFi governance tokens, while smaller, is also experiencing explosive growth. As the DeFi ecosystem matures, the need for robust and decentralized governance mechanisms is becoming increasingly critical. SBL, with its comprehensive value accrual framework and democratic control over the Stabolut protocol, is well-positioned to become a leading governance token in the DeFi space. The value of a governance token is derived from the right to vote on protocol parameters and to control the distribution of treasury funds.

B Target Markets and Use Cases

Stabolut's dual-token architecture allows it to address a wide range of use cases and target markets:

- **Cryptocurrency Exchanges:** USB provides a stable and reliable medium of exchange for traders, while SBL offers a compelling investment and governance opportunity.
- **DeFi Protocols:** USB can be integrated as a stable collateral asset in lending, borrowing, and derivatives protocols, while SBL can be used to govern these integrations.
- **Institutional Services:** The regulatory-compliant design of the Stabolut protocol makes it an attractive option for institutional investors and financial service providers.
- **Payment Providers:** The low transaction fees and fast settlement times of USB make it an ideal solution for cross-border payments and remittances.

By addressing these diverse markets, Stabolut is well-positioned to become a cornerstone of the digital asset economy.

VII Roadmap

A Private and Public Beta Testing

Stabolut has conducted a private beta testing phase for USB with a limited group of users. The feedback received during this testing has been crucial in refining the platform and ensuring its robustness. The company plans to launch a public beta, allowing a wider user base to experience the benefits of USB.

During the public beta phase, Stabolut will continue to monitor and gather feedback from users to further refine the platform and ensure its stability.

B Launch and Scaling Plans

Our team is working diligently towards the public launch of USB. Ahead of the launch, we will be conducting rigorous testing to ensure that the platform is fully functional and ready for use.

In order to scale effectively, we plan to gradually increase the availability of USB on a variety of decentralized exchanges and centralized exchanges, making it easy for users to access and trade the stablecoin. We will also be exploring partnerships with other players in the industry to increase adoption and awareness of USB.

As demand for USB increases, we will continue to enhance the stability and security of the platform, with the goal of becoming a leading crypto-asset-backed stablecoin in the market.

C Future Developments and Innovations

Stabolut has an ongoing commitment to continually improve and innovate USB. Some potential future developments and innovations include:

- Integration with more decentralized exchanges to increase the robustness of the solution and decrease counterparty risk.
- Integration with other Layer 2 scaling solutions to improve the transaction speed and lower gas fees.
- Expand hedging strategies to include additional assets (e.g., ETHUSD) to replicate 2024's 60% yield performance.
- Expansion into other fiat-backed stablecoins, such as euro or yen.
- Implementation of a reward system for USB holders.
- Building a user-friendly interface to make it easier for non-technical users to access and use USB.
- Building APIs and SDKs to make it easier for developers to integrate USB into their applications.

Stabolut will continue to monitor the industry and user feedback to identify new opportunities for innovation and improvements.

D Community Growth Initiatives

- **Liquidity Mining:** Earn SBL by providing USB liquidity on DEXs.
- **Governance DAO:** Transition to a decentralized autonomous organization (DAO) governed by SBL holders by 2025.
- **Bug Bounties:** Reward users for identifying vulnerabilities in USB/SBL contracts.

VIII Conclusion: A New Paradigm for Stablecoins and DeFi Governance

Stabolut represents a new paradigm for stablecoins and decentralized finance. By combining a robust, crypto-asset-backed stablecoin with a comprehensive value accrual framework for its governance token, Stabolut creates a powerful and sustainable ecosystem that benefits all participants.

A Financial Sustainability and Value Accrual

The Stabolut protocol is designed for long-term financial sustainability. The yield generated from the protocol's hedging strategies provides a consistent revenue stream that funds the treasury. This treasury growth is the primary driver of value for the SBL token.

As the treasury grows, the protocol's capacity to distribute value to SBL holders increases. This can be done through a variety of mechanisms, including direct airdrops, buyback and burn programs, and yield enhancement initiatives. The specific mechanism and timing of these distributions are determined by SBL holders through the governance process.

This creates a direct link between the success of the Stabolut protocol and the value of the SBL token. As the protocol grows and the treasury expands, the potential for value distribution to SBL holders increases, creating a powerful and self-sustaining cycle of value creation.

B Risk Mitigation and Governance Innovation

The Stabolut protocol incorporates a multi-layered approach to risk management, including:

- **Conservative Distribution Policies:** To ensure the long-term health of the treasury, a maximum of 20
- **Treasury Reserve Requirement:** The protocol will not allow any distribution of treasury funds if the total treasury assets are below 30
- **Multi-Signature and Timelock Security:** All treasury operations are protected by multi-signature and timelock mechanisms, preventing unauthorized access and providing a buffer for community review.

This robust risk management framework, combined with the protocol's innovative governance model, ensures that Stabolut is well-equipped to navigate the challenges of the evolving DeFi landscape.

C Call to Action

Stabolut is more than just a stablecoin; it is a community-driven ecosystem that is poised to revolutionize the world of decentralized finance. We invite you to join us on this journey by:

- **Using USB:** Experience the stability and security of a truly decentralized stablecoin.
- **Staking SBL:** Participate in the governance of the Stabolut protocol and share in its success.

- **Building on Stabolut:** Create new and innovative applications on top of the Stabolut protocol.

Together, we can build a more open, transparent, and equitable financial system for all.

IX Legal Disclaimer

This whitepaper is a work in progress and is not intended to be a final, definitive document. The information contained herein is subject to change at any time without notice. The Stabolut protocol is an evolving project, and the team reserves the right to modify the protocol, its features, and its roadmap at any time.

The information in this whitepaper is for informational purposes only and does not constitute an offer or solicitation to sell shares or securities in Stabolut or any related or associated company. Any sale of SBL tokens will be subject to a separate set of terms and conditions.

USB and SBL are utility tokens, not financial instruments. They do not constitute equity, securities, or investment contracts. Stabolut does not guarantee yields, airdrops, or price appreciation. The value of SBL is dependent on the success of the Stabolut protocol and the broader crypto market, and is subject to significant volatility.

The information contained in this whitepaper should not be construed as investment, legal, or tax advice. All participants are strongly encouraged to consult with their own legal, financial, and tax advisors before making any decisions related to the Stabolut protocol.

Users are solely responsible for complying with all applicable laws and regulations in their jurisdiction. The Stabolut protocol is not available to individuals or entities in any jurisdiction where the use of such a protocol would be illegal or otherwise prohibited.